or its related persons provide to other investors in the same private fund.[869] We also proposed to require advisers to distribute an annual written notice to current investors in a private fund where such notice provides specific information about any preferential treatment the adviser or its related persons provide to other investors in the same private fund since the last written notice.[870]

We are adopting this aspect of the rule largely as proposed because we are concerned that an adviser's current sales practices do not provide all investors with sufficient detail regarding preferential terms granted to certain investors. Increased transparency will better inform investors about the breadth of preferential treatment, the potential for those terms to affect their investment in the private fund, and the potential costs (including compliance costs) associated with these preferential terms. This disclosure will help investors understand whether, and how, such terms present conflicts of interest or otherwise impact the adviser's compensation schemes with the private fund. The disclosure will also help prevent investors from being potentially defrauded or deceived by preferential treatment that negatively impacts their investment in the private fund.[871]

One commenter generally opposed the disclosure portion of the preferential treatment rule because advisers may seek to deny investors certain terms to avoid being required to

---

869 Proposed rule 211(h)(2)-3(b)(1).

870 Proposed rule 211(h)(2)-3(b)(2).

871 As discussed above, investors can use this information to protect their interests, including through negotiations regarding new investments and renegotiations regarding existing investments, and to make more informed business decisions. We believe that disclosure of preferential treatment is necessary to guard against deceptive and/or fraudulent practices because it will increase investor access to information necessary to diligence the prospective investment and better understand whether, and how, such terms affect the private fund overall. For example, an investor could seek assurances that it will not bear more than its *pro rata* portion of expenses as a result of economic arrangements provided to other investors As another example, disclosure of significant governance rights provided to one investor, such as the ability to terminate the investment period of the fund or remove the adviser, will guard against other investors being misled about the terms of their investment and how preferential treatment provided to certain, but not all, investors impacts those terms.

disclose those concessions to all investors.[872] One commenter asserted that the disclosure obligation could compromise the anonymity of investors.[873] Other commenters suggested narrowing the scope of the proposed rule by requiring disclosure only of *material* preferential treatment.[874] In contrast, some commenters supported the disclosure requirements because they said they would assist the investor in the negotiation process.[875]

In response to commenter concerns, we are making three changes to the proposal. First, we are limiting the advance written notice requirement to "any preferential treatment related to *any material economic terms*" rather than requiring advance disclosure of all preferential treatment. Commenters stated that the advance notice requirement would impede the closing process because it would incentivize investors to wait until the last minute to invest in order to maximize the amount of information they receive about the terms other investors negotiated.[876] They asserted that, because of the dynamic nature of negotiations leading up to a closing (*i.e.*, advisers simultaneously negotiate with multiple investors), it would be impractical for an adviser to provide advance written notice to a prospective investor because doing so would result in a repeated cycle of disclosure, discussion, and potential renegotiation.[877] Several commenters argued that the most favored nations ("MFN") clause process addresses the policy concerns raised by the proposed rule,[878] and they suggested that instead of applying the rule to funds that

---

872 *See* OPERS Comment Letter.

873 *See* IAA Comment Letter II.

874 *See* BVCA Comment Letter; Invest Europe Comment Letter; GPEVCA Comment Letter.

875 *See* RFG Comment Letter II; Healthy Markets Comment Letter I.

876 *See* AIC Comment Letter I.

877 *See* MFA Comment Letter I; PIFF Comment Letter; Chamber of Commerce Comment Letter; AIMA/ACC Comment Letter; Correlation Ventures Comment Letter; SIFMA-AMG Comment Letter I; ATR Comment Letter; Ropes & Gray Comment Letter.

878 *See* NY State Comptroller Comment Letter.

offer MFN rights to investors, especially closed-end funds, we should allow such funds to adopt a best-in-class MFN process.[879] In an MFN clause, an adviser or its related person generally agrees to provide an investor with contractual rights or benefits that are equal to or better than the rights or benefits provided to certain other investors, subject to certain exceptions. Closed-end fund investors are typically entitled to elect these rights or benefits *after the end of the private fund's fundraising period*, and open-end fund investors are typically entitled to elect these rights or benefits *after the closing of their investment*. As a result, adopting a best-in-class MFN process would not provide prospective investors with information that they can act upon when negotiating the terms of their investment because investors would not receive such information until after the closing of their investment. Some commenters supported limiting any advance disclosure requirement to certain key terms with more comprehensive disclosure to follow post investment.[880]

While we understand commenter views about the timing concerns associated with advance disclosure, we believe that it is crucial for prospective investors to have access to certain information before they invest. This is designed to prevent investors from being misled because it will provide them with transparency regarding how the terms may affect their investment, how the terms may affect the adviser's relationship with the private fund and its investors, and whether the terms create any additional conflicts of interest.[881] To address commenter concerns about timing and impeding the closing process, the final rule will limit advance disclosure to

---

879 *See* ILPA Comment Letter I; BVCA Comment Letter; Invest Europe Comment Letter; GPEVCA Comment Letter.

880 *See* Ropes & Gray Comment Letter; PIFF Comment Letter.

881 For example, to the extent a private equity manager sought to limit or narrow the fund's overall investment strategy via a side letter provision with one investor, the other investors would likely be misled about the fund's actual investment strategy.

those terms that a prospective investor would find most important and that would significantly impact its bargaining position (*i.e.*, material economic terms, including, but not limited to, the cost of investing, liquidity rights, fee breaks, and co-investment rights[882]). One commenter stated that the final rule should not apply to preferential terms an adviser offers to investors and instead should apply only to preferential terms actually provided.[883] We agree with this interpretation of the scope of the disclosure obligations under this aspect of the rule and believe this is clear from the rule text.[884]

Second, we are requiring advisers to disclose all other preferential treatment, in writing, to current investors on the following timeline: for illiquid funds, as soon as reasonably practicable following the end of the private fund's fundraising period, and for liquid funds, as soon as reasonably practicable following the investor's investment in the private fund.[885] This change is in response to commenter concerns that requiring advisers to disclose all preferential treatment would impede the closing process. As a result, we are allowing advisers to wait until after an investor has invested in the fund to disclose the remaining preferential terms (*i.e.*, all preferential terms that are not material economic terms). Although investors may not receive

---

882 Co-investment rights will generally qualify as a material, economic term to the extent they include materially different fee and expense terms from those of the main fund (*e.g.*, no fees or no obligation to bear broken deal expenses). Even if co-investment rights do not include different fee and expense terms, and for example, are offered to provide an investor with additional exposure to a particular investment or investment type, investors often negotiate for those rights and give up other terms in the bargaining process in order to secure access to co-investment opportunities. As a result, co-investment terms generally will be material given their impact on an investor's bargaining position.

883 *See* AIMA/ACC Comment Letter.

884 *See, e.g.*, final rule 211(h)(2)-3(b) (referring to preferential treatment "the adviser or its related persons *provide*…" (emphasis added).

885 The disclosure requirements are not limited to an investor's initial investment in the fund. For example, if an existing investor increases its investment in the fund, the adviser is required to disclose all preferential treatment to such investor following such additional investment in accordance with the timelines set forth in the rule.

this information until after the closing of their investment, this information will nonetheless enable investors to protect their interests more effectively and make more informed investment decisions with a broader understanding of market terms, including with respect to negotiations of new investments with the adviser or renegotiations (or liquidations, if applicable) of existing investments. This change also addresses a commenter's suggestion that any final rule account for the different negotiating processes for open-end and closed-end funds.[886]

An example of preferential treatment that the final rule prohibits unless it is disclosed post investment and/or pursuant to the annual notice requirement is if an adviser to a private equity fund provides "excuse rights" (*i.e.*, the right to refrain from participating in a specific investment the private fund plans to make) to certain private fund investors.[887] We believe that post-investment and annual disclosure is important because it helps investors learn whether other investors are receiving a better or different deal and whether any such arrangements pose potential conflicts of interest, potential harms, or other disadvantages *(e.g.*, to the extent other investors are excused from participating in certain types of investments, such as alcohol-related investments, the participating investors may become over concentrated in such investments).

Third, we are revising the rule text to apply the disclosure obligations in final rule 211(h)(2)-3(b) to all preferential treatment, including any preferential treatment granted in accordance with final rule 211(h)(2)-3(a). Specifically, we are removing the reference to "other" from the first sentence in rule 211(h)(2)-3(b) to avoid the implication that the preferential treatment granted pursuant to the disclosure exceptions in final rule 211(h)(2)-3(a) would not be captured. This change is a necessary clarification because the granting of preferential treatment

---

886 *See* ILPA Comment Letter I.

887 This example assumes that the relevant excuse rights are not material economic terms required to be disclosed pre-investment by final rule 211(h)(2)(3)-(b)(1).

with respect to redemption rights or fund portfolio holdings or exposures information would have been prohibited under proposed rule 211(h)(2)-3(a) and, accordingly, there would have been nothing to disclose under proposed rule 211(h)(2)-3(b) with respect to these types of preferential treatment. Transparency into these terms will better inform investors regarding the breadth of preferential treatment, the potential for such terms to affect their investment in the private fund, and the potential costs associated with these preferential terms. Moreover, such disclosure may assist investors in determining whether the adviser offered the same redemption ability or information to all investors in the private fund, if applicable.

We are adopting the annual written notice requirement as proposed. One commenter supported the ability of an adviser to choose when to provide the annual disclosure as long as the adviser provides it on an annual basis.[888] Some commenters suggested that the final rule only require annual disclosure (instead of also requiring pre-investment disclosure).[889] We believe that the annual notice requirement will require advisers to reassess periodically the preferential terms they provide to investors in the same fund, and investors will benefit from receiving periodic updates on preferential terms provided to other investors in the same fund (*e.g.*, investors will benefit because they will be able to assess whether such preferential treatment presents new conflicts for the adviser). We also believe that providing this information annually will not overwhelm investors with disclosure.

We were not persuaded by commenters who urged us not to adopt this portion of the rule on the basis that advisers may use it to deny investors certain terms. Continuing to allow advisers to negotiate undisclosed side arrangements with certain investors that may impact other

---

888 *See* AIMA/ACC Comment Letter.

889 *See* RFG Comment Letter II; Ropes & Gray Comment Letter; PIFF Comment Letter.

investors would be contrary to the public interest and the protection of investors because such arrangements can harm, mislead, or deceive other investors. It would also be inconsistent with promoting transparency into such arrangements. Moreover, even if advisers cease to offer certain provisions to investors, we believe the benefits associated with disclosure of preferential treatment justify such incremental burden.

Like the proposed rule, the final rule will require an adviser to describe specifically the preferential treatment to convey its relevance. One commenter argued that advisers should not be required to disclose the exact fees or other contractual terms that they negotiated and instead disclosure that some investors received preferential fees should be sufficient.[890] We do not believe that mere disclosure of the fact that other investors are paying lower fees is specific enough. For example, if an adviser provides an investor with lower fee terms in exchange for a significantly higher capital contribution than paid by others, an adviser must describe the lower fee terms, including the applicable rate (or range of rates if multiple investors pay such lower fees), in order to provide specific information as required by the rule. An adviser could comply with the disclosure requirements by providing copies of side letters (with identifying information regarding the other investors redacted).[891] Alternatively, an adviser could provide a written summary of the preferential terms provided to other investors in the same private fund, provided the summary specifically describes the preferential treatment. We believe information about fee arrangements such as those described in the example immediately above qualify as information

---

890 *See* SBAI Comment Letter.

891 Advisers are not required to disclose the names or even types of investors provided preferential terms as part of this disclosure requirement. Thus, we do not believe commenters' concerns regarding investor confidentiality are supported.

about material economic terms that the adviser must disclose prior to the prospective investor's investment.

5. Delivery

As proposed, the timing of the final rule's delivery requirements differs depending on whether the recipient is a prospective or current investor in the private fund. For a prospective investor the notice needs to be provided, in writing, prior to the investor's investment in the fund. For a current investor, the adviser must "distribute" the notice as soon as reasonably practicable after the end of the fund's fundraising period (for illiquid funds) or as soon as reasonably practicable following the investor's investment in the fund (for liquid funds).[892] Also, for a current investor, the adviser must distribute an annual notice if any preferential treatment is provided to an investor since the last notice.[893] This includes preferential information provided to any transferees during such period. If an investor is a pooled investment vehicle that is in a control relationship with the adviser, the adviser must look through that pool in order to send the notice to investors in those pools.[894]

We are not adopting a requirement for advisers to distribute the various notices within a specified deadline (*e.g.*, five days after an investor's investment in the fund or five days after year end). Because notices for certain funds, especially funds that provide extensive or complex preferential treatment, may take more time to prepare, a one-size-fits-all approach is not

---

892 Final rule 211(h)(2)-3(b)(2).

893 As a practical matter, a private fund that does not admit new investors or provide new terms to existing investors does not need to deliver an annual notice. However, an adviser that enters into a side letter after the closing date of the fund must disclose any preferential terms in the side letter to investors that are locked into the fund.

894 *See supra* section II.B.3 (Preparation and Distribution of Quarterly Statements).

appropriate for purposes of this rule.[895] We believe that the "as soon as reasonably practicable" is the appropriate standard because it emphasizes the need for the notices to be distributed to investors without delay to help ensure their timeliness while affording advisers a limited degree of flexibility. Whether a written notice is furnished "as soon as reasonably practicable" will depend on the facts and circumstances. While this standard imposes no specific time limit, we believe that it would generally be appropriate for advisers to distribute the notices within four weeks.

One commenter suggested that we require advisers to provide the preferential treatment disclosures only upon request to reduce the burden on advisers and require investors to consider what information is important to them.[896] We believe that requiring advisers to provide and distribute the disclosures under this rule is essential to placing investors in the best position to negotiate the terms of their investment (with regard to the advance disclosure) and, with regard to the post-investment and annual disclosures, in the best position to consider and negotiate future investment opportunities, including with the adviser providing the disclosures. We are concerned that, especially with the advance disclosure requirement, requiring investors to first request information that they believe is essential to their negotiation process would serve only to disadvantage these investors both from a time and information perspective. Requiring investors to request this information could change the relationship dynamics between the adviser and investors. For example, an adviser may decide not to allow an investor with significant

---

895 We recognize that the quarterly statement rule includes specified distribution timelines. The primary reason for this is to help ensure that investors can monitor their investments with regular and consistent disclosures from the adviser. Moreover, this flexible standard acknowledges that there will likely be more variance in the time required to prepare these notices as compared to the quarterly statements.

896 *See* AIMA/ACC Comment Letter.

information requests to invest in the adviser's future funds. Similarly, investors may hesitate to request information (even though the rules permit them to) for fear of burdening the adviser or potentially increasing the fees and expenses charged to the fund. We are not prescribing the method of delivery (*e.g.*, electronic, data room, via mail) for the written notices.[897]

6. Recordkeeping for Preferential Treatment

We proposed amending rule 204-2 under the Advisers Act to require advisers registered with the Commission to retain books and records to support their compliance with the proposed preferential treatment rule.[898] Some commenters supported this amendment to the recordkeeping rule and stated that the recordkeeping obligation would ensure compliance with the rule as well as support the completeness and accuracy of records.[899] Another commenter stated that advisers should not be required to retain records if the prospective investor does not ultimately invest in the fund since, in that case, the prospective investor would not have received any preferential treatment.[900] From a practical standpoint, advisers may find it more burdensome to sort out prospective investors who did *not* ultimately invest from prospects that *did* invest in the fund. This commenter also stated that requiring an adviser to retain records from a prospective investor that does not invest in the fund could conflict with other legal obligations an adviser has (*e.g.*, data protection rules in another jurisdiction).[901] We recognize that advisers and their related persons may have to navigate different or potentially competing obligations under other laws,

---

897 *See* AIMA/ACC Comment Letter (suggesting that the final rule allow advisers to make the written notices available via a data room, where appropriate). If delivery of the required disclosure is made electronically, it should be done in accordance with the Commission's guidance regarding electronic delivery. *See* Use of Electronic Media Release, *supra* footnote 435; *see also supra* section II.B.3 (discussing the distribution requirements).

898 Proposed rule 211(h)(2)-3(b).

899 *See* CFA Comment Letter I; Convergence Comment Letter.

900 *See* AIMA/ACC Comment Letter.

901 *See id.*